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THIRD-PARTY FUNDING IN ARBITRATION: DISCLOSURE, COSTS AND THE REGULATORY ROAD AHEAD FOR INDIA

INTRODUCTION

Arbitration has emerged as a preferred mechanism for resolving complex commercial disputes, particularly those involving international transactions, infrastructure projects and high-value contractual claims. However, its increasing sophistication has also brought substantial financial burdens. Tribunal fees, institutional charges, legal representation, expert evidence, extensive document production, witness examination and subsequent enforcement proceedings can collectively make arbitration prohibitively expensive. Consequently, even parties possessing legitimate and potentially meritorious claims may find themselves unable or unwilling to pursue arbitration because of the financial risks involved. For businesses, the problem is not always a lack of resources; allocating substantial capital to prolonged proceedings may adversely affect liquidity, operational expenditure and future investment.

Third-party funding (TPF) has emerged as a mechanism for addressing these concerns. By enabling an independent entity to finance arbitration proceedings in exchange for an agreed financial return upon success, TPF can facilitate access to justice while allowing businesses to manage litigation risk. Nevertheless, third-party funding introduces complex legal and ethical questions. The involvement of an external financier raises concerns regarding conflicts of interest, disclosure obligations, confidentiality, funder control over proceedings, settlement decisions

and security for costs. Most importantly, it raises the question of who should bear the financial consequences when the funded party loses.

In India, judicial recognition of third-party funding has developed without a comprehensive statutory framework specifically governing its use in arbitration. Singapore, by contrast, has adopted express statutory provisions and institutional rules addressing disclosure and funding-related costs. The resulting comparison is particularly relevant to India's developing arbitration landscape.

The central question is therefore no longer merely whether third-party funding should be permitted, but how its risks and responsibilities should be allocated between the funded party, the funder and the opposing party.



THIRD- PARTY FUNDING IN ARBITRATION

Third-party funding refers to an arrangement under which an entity having no pre-existing interest in a dispute provides financial assistance to a party pursuing or defending proceedings. In return, the funder ordinarily receives an agreed percentage of the amount recovered or a return calculated by reference to its investment. These arrangements are generally non-recourse, meaning that the funder's recovery depends upon a successful outcome, subject to the terms of the agreement. TPF provides several commercial advantages. It enables financially constrained claimants to

pursue legitimate claims, permits companies to preserve working capital and can assist small and medium-sized enterprises in resolving disputes against financially stronger counterparties. It may also support the enforcement of substantial arbitral awards where the successful claimant lacks the resources to pursue recovery. However, the arrangement is not without risks. Funders have commercial incentives that may not always align with those of the funded party. Disagreements may arise concerning settlement, litigation strategy or the continuation of proceedings. Disclosure of commercially sensitive information to funders also creates confidentiality concerns, while undisclosed relationships between funders and arbitrators may compromise, or appear to compromise, tribunal independence.

Another concern is the possibility of disproportionate financial returns. A claimant may succeed in arbitration but retain only a limited portion of the recovered amount after paying legal expenses and the funder's contractual entitlement. The most consequential issue arises when arbitration is unsuccessful and the claimant is ordered to pay the opposing party's costs. The funder's loss of its investment is legally distinct from the claimant's liability for adverse costs. Unless the funding agreement or an applicable legal mechanism provides otherwise, financing a claim does not automatically transfer that liability to the funder.

THE INDIAN LEGAL POSITION



1. Historical Foundations

India does not have dedicated legislation comprehensively regulating third-party funding in arbitration. Historically, third-party funding was examined through the common-law doctrines of maintenance and champerty. Maintenance involves supporting another person's litigation without a legally recognised interest, while champerty refers to supporting litigation in exchange for a share of the proceeds. Unlike the historical English approach, Indian law did not treat every champertous agreement as inherently unlawful.

In Ram Coomar Coondoo v. Chunder Canto Mookerjee (1876) 2 App Cas 186, the Privy Council recognised that funding arrangements were not necessarily opposed to public policy in India. Their enforceability depended on their terms and circumstances, particularly whether the arrangement was extortionate, unconscionable or entered into for an improper purpose.

2. Bar Council of India v. A.K. Balaji, (2018) 5 SCC 379

The Supreme Court's decision provides important guidance concerning the distinction between litigation funding by advocates and funding by independent third parties. The Court examined the professional restrictions applicable to advocates under the Bar Council of India Rules which strongly indicate that advocates cannot finance their clients' litigation in return for a contingent interest in the outcome. The Court also observed that there appeared to be no general restriction on non-lawyer third parties funding litigation and receiving repayment depending upon its outcome.

3. Tomorrow Sales Agency Private Limited v. SBS Holdings, Inc. & Ors., 2023 SCC OnLine Del 3191

The Delhi High Court's decision is particularly significant because it directly addresses the

liability of a third-party funder following an adverse arbitral outcome.

The dispute arose from arbitration proceedings instituted by claimants whose claims were financed by Tomorrow Sales Agency Private Limited (TSA). The arbitration ultimately resulted in an award favouring SBS Holdings, including an award of costs. SBS subsequently sought interim measures under Section 9 of the Arbitration and Conciliation Act, 1996, in aid of enforcement. A Single Judge granted measures extending to TSA, despite the fact that TSA was neither a party to the arbitration agreement nor a party to the arbitral proceedings.

On appeal, the Division Bench considered whether a third-party funder could be subjected to such measures merely because it had financed the unsuccessful claimants. The Court distinguished between financing arbitration and becoming legally responsible for the obligations arising from it. It observed that third-party funding plays an important role in facilitating access to justice and that funders must be able to understand the financial exposure they undertake. Significantly, the Court rejected the proposition that adverse costs awarded in arbitration could automatically be enforced against a non-party funder that had not agreed to assume that liability. It also distinguished English decisions concerning non-party costs orders in court proceedings from the enforcement of arbitral awards against persons who were not parties to the arbitration.

The Court nevertheless recognised the importance of transparency and observed that the existence of third-party funding may be relevant when considering security for costs. It emphasised the need for appropriate disclosure rules without introducing unpredictable liabilities that could discourage legitimate funding. The decision protects the contractual allocation of risk between funder and claimant. However, it also highlights the opposing party's practical difficulty a successful respondent may

obtain an award for costs against an impecunious claimant without having an effective means of recovery.

4. India's regulatory gap

India has developed a broadly permissive judicial approach towards independent third-party funding, but important questions remain unresolved. There is no comprehensive arbitration-specific legislation prescribing mandatory disclosure of funders, minimum financial qualifications, funder control over settlement, confidentiality safeguards or the treatment of adverse costs.

The High-Level Committee chaired by Justice B.N. Srikrishna, constituted to review the institutionalisation of arbitration in India, also brought attention to the need to strengthen India's arbitration framework. The broader development of institutional arbitration makes a predictable funding regime increasingly relevant. The challenge is therefore to develop rules that preserve access to justice without allowing funding arrangements to compromise procedural fairness or leave opposing parties exposed to unreasonable recovery risks.

A recent development illustrates the growing attention being given to third-party funding within India's arbitration ecosystem. During India ADR Week 2026, organised by the *Mumbai Centre for International Arbitration (MCIA)*, a dedicated session titled *"Third-Party Funding: Lessons from Global Markets for India"* was held on 9 September 2026 in Mumbai, co-hosted by *Five Rivers Capital* and *Burford Capital*. The session focused on how the experience of mature global litigation-finance markets could inform the development of third-party funding in India. The timing is particularly significant because the Indian market remains relatively nascent and does not yet have a dedicated statutory framework comprehensively regulating litigation funding, even as interest in funding high-value commercial disputes and arbitration continues to increase. Recent September 2026 reporting

similarly describes litigation finance in India as a small but developing market, attracting institutional interest while continuing to face questions concerning regulatory clarity, enforcement and risk allocation. Notably, the *MCIA Rules 2025* have themselves introduced a specific provision on third-party funding, requiring disclosure of the existence and identity of the funder and whether the funder has undertaken any adverse-cost liability. Taken together, these developments indicate a gradual shift in India from merely recognising the permissibility of third-party funding towards addressing how such funding should operate within a transparent and procedurally fair arbitration framework.



SINGAPORE'S REGULATORY FRAMEWORK

Singapore provides a useful comparative model because it has developed express legislation alongside institutional arbitration rules.

1. Statutory recognition

Singapore introduced its statutory third-party funding framework in 2017 through amendments to the Civil Law Act 1909 and the Civil Law (Third-Party Funding) Regulations 2017.

Section 5B of the Civil Law Act provides for the enforceability of qualifying funding contracts in prescribed dispute resolution proceedings, subject to statutory requirements.

The Singapore International Arbitration Centre (SIAC) Rules 2025, effective from 1 January 2025, contain express provisions

governing third-party funding under Rule 38. Rule 38 establishes a framework addressing disclosure, conflicts of interest and costs.

The rules recognise that the mere existence of third-party funding does not necessarily create procedural unfairness. Rather, the relevant inquiry concerns whether the arrangement creates identifiable conflicts or affects the allocation of costs.

Rule 38.4 is particularly significant because it enables the tribunal to investigate whether a funder has contractually undertaken adverse-cost liability. However, this power to obtain information must not be confused with an automatic power to impose the funded party's liability on the funder.

Similarly, Rule 38.6 allows funding arrangements to be considered when apportioning costs under the institutional rules, without making every funder personally responsible for an adverse costs award.



2. Who bears the loss when the funded party loses?

Illustration: A claimant receives S\$5 million from Funder X to pursue a substantial commercial claim. The claimant ultimately loses, and the tribunal orders it to pay the respondent S\$1 million in adverse costs.

The claimant remains the default bearer of the adverse costs awarded against it. The funder ordinarily risks losing its investment but does not automatically assume the respondent's costs. However, a funding agreement may expressly require the funder to indemnify the claimant against adverse costs or provide security. The parties may also obtain adverse-cost insurance to address this exposure.

Rule 38.4 allows a SIAC tribunal to ascertain whether such an undertaking exists, while Rule 38.6 permits consideration of the funding agreement when allocating costs.

The practical importance of these provisions lies in distinguishing the economic consequences of an unsuccessful investment from legally enforceable obligations arising from an arbitral award.

3. The Tata Power Company Limited v. Kleros Capital Partners Limited [2026] SGHC(I) 15; Singapore International Commercial Court, 26 August 2026

The recent decision illustrates how third-party funding may intersect with tribunal independence and disclosure. The dispute arose from arbitration concerning non-disclosure agreements relating to a proposed coal mining investment in Russia. The tribunal found Tata liable for breaches of the agreements, and a majority subsequently awarded Kleros approximately US\$490 million in damages assessed on a loss-of-chance basis.

Kleros's arbitration was financed by Omni Bridgeway Limited. Tata sought to set aside the quantum award on several grounds, including alleged breaches of natural justice and apparent bias arising from undisclosed connections between members of the tribunal and Omni Bridgeway. Among other matters, Tata relied on arbitrators' appointments in unrelated proceedings involving Omni Bridgeway and alleged professional and personal connections between the presiding arbitrator and a member of Omni Bridgeway's investment committee.

The Singapore International Commercial Court dismissed the applications. It found that the relevant appointments had not been made by Omni Bridgeway or at its instance, and that the alleged connections, considered in context, did not establish apparent bias. The Court also rejected the natural justice challenges concerning causation, remoteness and mitigation.

The proper inquiry requires examination of the nature and significance of the relationship, the surrounding circumstances and whether an informed observer would reasonably suspect that a fair determination was not possible.



UNITED KINGDOM: THIRD-PARTY FUNDING AND COST LIABILITY

The United Kingdom has developed a substantial litigation funding market through judicial decisions, contractual arrangements and industry self-regulation. Its experience is particularly relevant to the question of adverse-cost liability.

In Arkin v. Borchard Lines Ltd., [2005] EWCA Civ 655, the Court of Appeal addressed the circumstances in which a commercial litigation funder could be required to contribute towards an unsuccessful claimant's adverse costs. The decision became associated with the principle that a funder's exposure could be limited by reference to the amount it had invested.

However, the subsequent development of English law has demonstrated that this is not an inflexible limit. The courts may examine the funder's commercial interest, degree of involvement and the circumstances of the proceedings when determining non-party costs liability. These principles must be distinguished from the position in arbitration, where a tribunal's jurisdiction ordinarily derives from the parties' arbitration agreement.

In R (PACCAR Inc. and Others) v. Competition Appeal Tribunal, [2023] UKSC 28, the Supreme Court held, by a majority, that

litigation funding agreements entitling funders to remuneration calculated as a percentage of recovered damages fell within the statutory definition of damages-based agreements. Consequently, agreements of this kind that did not satisfy the applicable statutory requirements were unenforceable. The judgment created significant contractual uncertainty for existing funding arrangements and prompted calls for legislative reform.

UNITED STATES: A FRAGMENTED REGULATORY APPROACH

The United States has a substantial third-party litigation funding market, but regulation differs between jurisdictions. There is no single comprehensive federal statute governing all commercial litigation funding arrangements. Certain states regulate aspects of consumer litigation financing, while individual federal courts have introduced disclosure requirements.

A United States Government Accountability Office report published in December 2024 identified the absence of a uniform nationwide disclosure requirement for third-party funding in federal litigation. It also documented the use of funding disclosure requirements by particular federal courts, including in patent litigation. The American approach therefore illustrates both the commercial possibilities of litigation finance and the difficulties associated with fragmented regulation.

Illustration: Rule 14 of the 2022 ICSID Arbitration Rules requires funded parties to disclose the identity and address of their funders. Where the funder is a juridical person, relevant ownership and control information must also be provided. These disclosure requirements are designed principally to facilitate conflict checks and preserve the independence and impartiality of arbitral tribunals.

The United States experience reinforces the distinction between domestic litigation funding regulation and the procedural obligations arising under international arbitration rules.



CONCLUSION AND SUGGESTION

Third-party funding has become an important mechanism for facilitating access to arbitration, particularly in disputes involving substantial financial commitments. However, its effectiveness depends upon predictable rules governing disclosure, conflicts of interest, confidentiality and financial responsibility.

The Indian position, particularly following *Tomorrow Sales Agency v. SBS Holdings*, recognises the importance of protecting funders against liabilities they have not undertaken. At the same time, the decision highlights the need to protect successful respondents from the risk of unrecoverable costs. Singapore's statutory framework and SIAC Rules 2025 offer a model for addressing these competing interests through qualifying-funder requirements, mandatory disclosure and tribunal oversight.

India could consider introducing an arbitration-specific framework addressing the following matters:

1. **Mandatory disclosure:** Require parties to disclose the existence and identity of third-party funders, together with material changes affecting potential conflicts of interest.
2. **Financial responsibility:** Encourage express contractual provisions addressing adverse costs, security for costs, termination of funding and the availability of adverse-cost insurance.
3. **Tribunal independence:** Establish procedures enabling arbitrators to identify and disclose relevant relationships with funders.

4. **Confidentiality and Control:** Provide safeguards concerning privileged information, settlement decisions and the funded party's ultimate authority over its claim.
5. **Proportionate regulation:** Develop a framework that protects opposing parties without making legitimate commercial funding commercially impracticable.

The central objective should be to create an environment in which third-party funding facilitates access to justice while ensuring that the resulting financial and procedural risks are clearly identified and appropriately allocated.

KEY TAKEAWAY

Third-party funding does not, by itself, transfer adverse-cost liability from the funded party to the funder. The funding agreement, applicable law and relevant institutional rules determine the extent of the funder's financial exposure.

The emerging regulatory challenge is to balance access to justice with transparency, tribunal independence and effective protection against unrecoverable costs.

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